

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Coles Group Property Developments Ltd (ACN 004 428 326) and Coles Supermarkets Australia Pty Ltd (ACN 004 189 708).

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1 Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by Coles Group Property Developments Ltd (ACN 004 428 326) (CGPD) and Coles Supermarkets Australia Pty Ltd (ACN 004 189 708) (CSA), collectively referred to as **Coles** in this Undertaking.

2 Background

The Proposed Lease Acquisition

- 2.1 CSA proposes to enter into a lease to operate a Coles supermarket with a selling floor area (SFA) of 3,500sqm at a site located in a proposed retail development at Lakelands, north of Mandurah, in Western Australia over part of Lot 9120, DP 400194, Volume 2828, Folio 750 (**Lakelands Site**), (**Proposed Lease Acquisition**).
- 2.2 The Lakelands Site is proposed to include a Coles supermarket, another supermarket and discount department store and other retail and service tenancies. It is anticipated that development of the Lakelands Site will be completed and the Coles supermarket will begin operating no earlier than June 2017.

The ACCC's review

- 2.3 On 9 February 2015, the ACCC began considering the confidential Proposed Lease Acquisition.
- 2.4 The ACCC undertook inquiries with relevant parties involved in the transaction, and considered information provided by Coles. The purpose of the ACCC's inquiries was to assess whether the Proposed Lease Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 50 of the Act.

The ACCC's competition concerns

- 2.5 The ACCC considered that a starting point for assessing the likely impact of the Proposed Lease Acquisition in particular geographic areas was to assess the level of competition provided by alternative full-line supermarkets within the immediate surrounds of the Lakelands Site, extending approximately 5km from the Lakelands site (**the Local Retail Supermarket Market**).
- 2.6 CGPD currently owns the freehold title in land identified as Lot 806 Mandurah Road, Karnup (Lot 1 on DP402366, Volume 2850, Folio 889) (**Divestiture Site**), approximately 2.7 kilometres north/west of the Lakelands Site. Development approval has been given by the relevant local council for the development of a neighbourhood shopping centre at the Divestiture Site, including a 2,500sqm SFA supermarket, six speciality retail shops, a medical centre, three fast food sites and over 300 car spaces (**Planning Approval**). Development of the Divestiture Site has not yet commenced.
- 2.7 The ACCC understands that following the Proposed Lease Acquisition, Coles could operate up to three full-line supermarkets, including at the Divestiture Site, in the Local Retail Supermarket Market, and there is also proposed to be one non full-line supermarket in the Local Retail Supermarket Market.

- 2.8 The ACCC is concerned that, in the absence of the Undertaking, the Proposed Lease Acquisition may have the effect, or be likely to have the effect, of substantially lessening competition in the Local Retail Supermarket Market.
- 2.9 The ACCC was concerned that there would be no full-line supermarkets competing with Coles in the Local Retail Supermarket Market, and the Proposed Lease Acquisition would remove the opportunity for another full line supermarket to enter the Local Retail Supermarket Market. As a result, there would likely be a reduction in the variety and quality of retail supermarket offerings provided to consumers in the Local Retail Supermarket Market and/or an increase in prices, compared to the offerings in the future without the Proposed Lease Acquisition. The ACCC also considered that, absent the Undertaking, the threat of likely, timely and sufficient new entry in the Local Retail Supermarket Market by a rival full-line supermarket operator was unlikely to provide a strong competitive constraint on Coles.
- 2.10 Coles does not agree with the ACCC's assessment of the proposed Lease Acquisition, or its views on the scope of, and participants in, the relevant markets. Coles does not consider that the Proposed Lease Acquisition would be likely to substantially lessen competition in any relevant market. Without admission, Coles offered this Undertaking to the ACCC pursuant to section 87B of the Act in order to address the ACCC's concerns.

The Undertaking remedy

- 2.11 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that could otherwise arise as a consequence of the Proposed Lease Acquisition. The Undertaking aims to achieve this objective by:
- (a) placing an obligation on Coles to ensure that the Divestiture Site is sold to an Approved Purchaser;
 - (b) placing obligations on Coles to not develop the Divestiture Site before its divestment, and not acquire any freehold or leasehold interest in the Divestiture Site for 5 years after its divestment unless otherwise agreed by the ACCC;
 - (c) creating an opportunity for a viable, effective, stand-alone, independent and long term competitor to enter the Local Retail Supermarket Market;
 - (d) placing obligations on Coles to maintain the value and/or marketability of the Divestiture Site prior to divestiture; and
 - (e) placing obligations on Coles to provide for the effective oversight of its compliance with this Undertaking.

3 Commencement of this Undertaking

- 3.1 This Undertaking comes into effect when:
- (a) this Undertaking is executed by Coles; and
 - (b) this Undertaking so executed is accepted by the ACCC.

(the Commencement Date).

4 Cessation of Ongoing Obligations

Withdrawal

- 4.1 Coles may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.

Revocation

- 4.2 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 4.3 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or extend the date by which any such obligation is to be satisfied.

Survival

- 4.4 Unless and until this Undertaking is withdrawn in accordance with clause 4.1, clauses 1, 2, 3, 4, 10, 11, 12, 13, 14, 15 and 16 survive completion of the obligations in clauses 5, 6, 7, 8 and 9.

5 Divestiture of the Divestiture Site

Divestiture

- 5.1 Coles must, in accordance with this Undertaking:
- (a) divest, or cause the divestiture of, the Divestiture Site by CGPD only to an Approved Purchaser;
 - (b) not develop, or cause to be developed, the Divestiture Site prior to divestment; and
 - (c) not acquire any freehold or leasehold interest in the Divestiture Site for a period of 5 years from the date on which it is divested to an Approved Purchaser in accordance with this Undertaking without prior consent in writing from the ACCC.
- 5.2 In the event that clause 9 applies, Coles must not authorise the Approved Divestiture Agent to divest the Divestiture Site to a purchaser other than an Approved Purchaser.
- 5.3 Coles must divest, or cause the divestiture of, the Divestiture Site by the sale of CGPD's freehold interest in the Divestment Site to the Approved Purchaser, pursuant to the Approved Sale and Purchase Agreement and before the end of the Initial Sale Period, otherwise clause 9 applies.

6 Process for approving a proposed purchaser

- 6.1 To seek ACCC approval for a Proposed Purchaser, Coles or the Approved Divestiture Agent must provide the ACCC with a notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft sale and purchase agreement.
- 6.2 Coles must provide the Proposed Purchaser Notice to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period.
- 6.3 The ACCC shall have the discretion to approve or reject in writing the Proposed Purchaser identified in the Proposed Purchaser Notice, which includes consideration of the draft sale and purchase agreement attached to the Proposed Purchaser Notice.
- 6.4 Without limiting the ACCC's discretion in making the decision pursuant to clause 6.3, the factors to which the ACCC may have regard include whether the:
- (a) draft sale and purchase agreement is consistent with this Undertaking;
 - (b) Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (c) Proposed Purchaser is independent of Coles;
 - (d) Proposed Purchaser is of good financial standing;
 - (e) Proposed Purchaser will develop a shopping centre on the Divestiture Site, which will include a supermarket; and
 - (f) divestiture of the Divestiture Site to the Proposed Purchaser will address any competition concerns of the ACCC.
- 6.5 The ACCC may revoke an Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

7 Divestiture Site Protection

Protection of the Divestiture Site

- 7.1 From the Commencement Date, Coles must not sell or transfer its interest in the Divestiture Site, except in accordance with this Undertaking.

Coles' obligations in relation to the Divestiture Site prior to completion of divestiture

- 7.2 Without limiting this clause 7, Coles must, from the Commencement Date until completion of the divestiture of the Divestiture Site:
- (a) take all steps available to it to ensure that the Divestiture Site is managed and maintained in such a way that preserves the value and/or the marketability of the Divestiture Site; and
 - (b) not do anything that may affect the validity of the existing Planning Approval.

8. Reporting on compliance with this Undertaking

- 8.1. Coles must prepare a written statement of Coles' compliance with this Undertaking that contains:
- (a) a description of the steps taken by Coles to comply with this Undertaking; and
 - (b) if Coles is aware of any non-compliance by it with this Undertaking during the period addressed by the statement, an identification and description of Coles' non-compliance with this Undertaking during that period and the steps taken by Coles to address those issues of non-compliance,
- (Compliance Statement).**
- 8.2. Coles must provide a Compliance Statement to the ACCC:
- (a) once every quarter after the Commencement Date until the first month after the date on which the divestiture of the Divestiture Site is completed;
 - (b) every six months thereafter, but only in relation to Coles' compliance with clause 5.1(c) of this Undertaking; and
 - (c) as soon as practicable after Coles becomes aware that it may be in breach of clause 5.1(c) of this Undertaking.
- A Compliance Statement provided in accordance with paragraph (a) must cover the immediately preceding quarterly period, and a Compliance Statement provided in accordance with paragraph (b) must cover the immediately preceding six month period.
- 8.3. Coles must comply with any direction of the ACCC in relation to matters arising from a Compliance Statement within 10 Business Days of being so directed (or such longer period as agreed with the ACCC).

9. Failure to divest the Divestiture Site within the Initial Sale Period

Divestiture of the Unsold Site

- 9.1. In the event that the divestiture of the Divestiture Site to an Approved Purchaser is not completed by the end of the Initial Sale Period, the Divestiture Site becomes an unsold site (**Unsold Site**) and the provisions of this clause 9 apply.

Obligation to appoint an Approved Divestiture Agent

- 9.2. From the end of the Initial Sale Period, Coles must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Site.

Process for approving a Proposed Divestiture Agent

- 9.3. At least 15 Business Days prior to the end of the Initial Sale Period, if the divestiture of the Divestiture Site has not been completed, Coles must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**) including draft terms of appointment, a draft sale agreement, and draft marketing and sale plan.

- 9.4. If clauses 9.14, 9.15, or 9.16 apply, Coles must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs, otherwise clause 9.9 applies.
- 9.5. The ACCC shall have the discretion to approve or reject in writing the Proposed Divestiture Agent.
- 9.6. Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Divestiture Agent, the factors to which the ACCC may have regard include whether the:
- (a) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (b) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Coles;
 - (c) draft terms of appointment, draft sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
 - (d) draft terms of appointment, draft sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.

Appointment of the Approved Divestiture Agent

- 9.7. After receiving written notice from the ACCC of its approval of the Proposed Divestiture Agent, the draft terms of appointment, draft sale agreement and draft marketing and sale plan, Coles must within five Business Days:
- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

- 9.8. If the Approved Divestiture Agent has not been appointed:
- (a) within 10 Business Days after the Divestiture Site becomes an Unsold Site;
 - (b) within 15 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 9.14, 9.15, or 9.16; or
 - (c) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 9.4;
- then clause 9.9 applies.
- 9.9. If clause 9.8 applies, the ACCC may, at its absolute discretion:
- (a) identify and approve a person as the Approved Divestiture Agent, including approving the draft terms of appointment of the Approved Divestiture Agent, draft sale agreement and draft marketing and sale plan; and/or

- (b) direct Coles to appoint a person who the ACCC has deemed is an Approved Divestiture Agent.

Obligations and powers of the Approved Divestiture Agent

- 9.10. Coles must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Independent Divestiture Agent to:
- (a) divest the Unsold Site only to an Approved Purchaser in accordance with clause 1 of Confidential Schedule 4;
 - (b) maintain his or her independence from Coles, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Coles for the period of his or her appointment;
 - (c) not use any confidential information gained through the divestiture of the Unsold Site other than for performing his or her functions as Approved Divestiture Agent;
 - (d) follow the Approved Marketing and Sale Plan;
 - (e) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Site as quickly as possible using the Approved Sale Agreement;
 - (f) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - (i) information regarding the implementation of the Approved Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
 - (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 9.11(d));
 - (v) details of the efforts made to sell the Unsold Site;
 - (vi) the identity of any advisers engaged;
 - (vii) the identity of any persons expressing interest in the Unsold Site; and
 - (viii) any other information required by the ACCC.
 - (g) within 30 Business Days after the completion of the divestiture of the Unsold Site, provide a written report directly to the ACCC which includes a final accounting of:

- (i) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
 - (ii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 9.11(d));
 - (h) immediately inform the ACCC of:
 - (i) any issues that arise in relation to the implementation of the Approved Sale Agreement and any Approved Marketing and Sale Plan;
 - (ii) non-compliance with this Undertaking by any person named in this Undertaking;
 - (iii) any offers for the Unsold Site;
 - (i) accept any offer for the Unsold Site upon instruction from Coles given in accordance with clause 9.13(d); and
 - (j) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- 9.11. Coles must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (a) negotiate with purchasers to divest the Unsold Site on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
 - (b) execute any agreements with the Approved Purchaser required pursuant to clause 6.3;
 - (c) upon instruction pursuant to clause 9.13(d), complete the divestiture of the Unsold Site to the Approved Purchaser in accordance with the Approved Sale Agreement; and
 - (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- 9.12. Any irrevocable power of attorney granted pursuant to clause 9.11 will end upon resignation or termination of the Approved Divestiture Agent in accordance with clauses 9.14, 9.15, or 9.16, or in the event that the Unsold Site is divested in accordance with this Undertaking.

Coles' obligations in relation to the Approved Divestiture Agent

- 9.13. Without limiting its obligations in this Undertaking, Coles must from the end of the Initial Sale Period:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;

- (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
 - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
 - (iii) paying such fees as are agreed between the Approved Divestiture Agent and Coles (but not fees contingent on the price to be obtained for the Unsold Site); and
 - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Coles within 15 Business Days after the end of the Initial Sale Period, Coles agrees to pay such fees as are directed by the ACCC;
- (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (i) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
 - (ii) providing access to the facilities, sites or operations of the Unsold Site as required by the Approved Divestiture Agent; and
 - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance he or she considers necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
- (d) within three Business Days after receiving notice from the ACCC pursuant to clause 6.3, Coles must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Site to the Approved Purchaser in accordance with clause 9.10(a) and the documents approved by the ACCC pursuant to clause 6.3; and
- (e) other than in accordance with clause 9.13(d), of this Undertaking, not instruct the Approved Divestiture Agent to divest the Unsold Site.

Resignation, revocation or termination of the Approved Divestiture Agent

- 9.14. Coles must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Site.
- 9.15. The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

- 9.16. The ACCC may approve any proposal by, or alternatively may direct, Coles to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

10. Notification of key dates and ACCC requests for information

- 10.1. Coles must notify the ACCC and any Approved Divestiture Agent in writing of:
- (a) the anticipated date on which the Proposed Lease Acquisition will complete, at least five Business Days before that date;
 - (b) the anticipated date of the completion of the divestiture of the Divestiture Site, at least five Business Days before that date;
 - (c) the occurrence of the date on which the Proposed Lease Acquisition is completed, within one Business Day of that date; and
 - (d) the occurrence of the completion of the divestiture of the Divestiture Site, within one Business Day of that date.
- 10.2. The ACCC may direct Coles in respect of its compliance with this Undertaking to, and Coles must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within Coles' custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.3. Any direction made by the ACCC under clause 10.2 will be notified to Coles, in accordance with clause 15.2.
- 10.4. In respect of Coles' compliance with this Undertaking or an Approved Divestiture Agent's compliance with its Approved Terms of Appointment, the ACCC may request either to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within their custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.5. Coles will use its best endeavours to ensure that an Approved Divestiture Agent complies with any request from the ACCC in accordance with clause 10.4.
- 10.6. Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 10 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.

- 10.7. The ACCC may in its discretion to be exercised in good faith:
- (a) advise any Approved Divestiture Agent of any request made by it under this clause 10; and/or
 - (b) provide copies to any Approved Divestiture Agent of any information furnished, documents and material produced or information given to it under this clause 10.
- 10.8. Nothing in this clause 10 requires the provision of information or documents in respect of which Coles has a claim of legal professional or other privilege.

11. Disclosure of this Undertaking

- 11.1. Coles and the ACCC agree that Schedule 4 will remain confidential until after the completion of the divestiture of the Divestiture Site or Unsold Site.
- 11.2. Coles acknowledges that the ACCC may provide any Approved Divestiture Agent with a copy of this Undertaking which includes unredacted versions of Schedule 4.
- 11.3. Coles acknowledges that the ACCC may, subject to clause 11.1:
- (a) make this Undertaking publicly available; and
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 11.4. Nothing in clause 11.1 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from disclosing such information as is:
- (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 11.5. Nothing in clause 11.1 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

12. Obligation to procure

Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Coles to take or refrain from taking some action, Coles will procure that Related Body Corporate to take or refrain from taking that action.

13. No Derogation

- 13.1. This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Coles of any term of this Undertaking.
- 13.2. Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Coles does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

14. Costs

- 14.1. Coles must pay all of its own costs incurred in relation to this Undertaking.

15. Notices

Giving Notices

- 15.1. Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@acc.gov.au
Attention: Executive General Manager
Merger and Authorisation Review Division

With a copy sent to: mergersucu@acc.gov.au
Attention: Director, Undertakings Compliance Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

- 15.2. Any notice or communication to Coles pursuant to this Undertaking must be sent to:

Name: General Manager Property
Address: 800 Toorak Road
Hawthorn East Victoria 3123

Fax number: (03) 9829 3172

With a copy sent to:

Name: General Manager Legal – Coles
Address: Wesfarmers Corporate Solicitors Office, 800 Toorak Road
Hawthorn East Victoria 3123

Fax number: (03) 9829 6406

- 15.3. If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

- 15.4. If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 15.5. Coles must notify the ACCC of a change to its contact details within three Business Days.
- 15.6. Any notice or communication will be sent to the most recently advised contact details and subject to clauses 15.3 and 15.4, will be taken to be received.

16. Defined terms and interpretation

Definitions in the Dictionary

- 16.1. A term or expression starting with a capital letter:
- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
 - (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

- 16.2. Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by **Coles Group Property Developments Ltd** (ACN 004 428 326) pursuant to section 127(1) of the Corporations Act 2001 by:



Signature of director

John Durkan



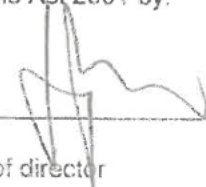
Signature of director

Chris Nicholas

Date: 23 June 2015

Date: 23 June 2015

Executed by **Coles Supermarkets Australia Pty Ltd** (ACN 004 189 708) pursuant to section 127(1) of the Corporations Act 2001 by:



Signature of director

John Durkan



Signature of director

Chris Nicholas

Date: 23 June 2015

Date: 23 June 2015

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the Competition and Consumer Act 2010 on:

1 July 2015

And signed on behalf of the Commission:



Chairman

1/7/15

Date

Schedule 1 – Dictionary and interpretation

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010* (Cth).

Approved Divestiture Agent means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Site.

Approved Purchaser means the person approved by the ACCC under clause 6 of this Undertaking.

Approved Sale Agreement means the contract for the divestiture of the Unsold Site which has been approved by the ACCC in accordance with the terms of this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which CGPD will divest the Divestiture Site to the Approved Purchaser and Approved Purchaser will acquire the Divestiture Site from Coles.

Approved Terms of Appointment means the terms of appointment for the Approved Divestiture Agent, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

CGPD has the meaning given to it in clause 1.1 of this Undertaking.

CSA has the meaning given to it in clause 1.1 of this Undertaking.

Coles has the meaning given to it in clause 1.1 of this Undertaking.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Corporations Act means the *Corporations Act 2001* (Cth).

Divestiture Site means the site described in clause 2.6 of this Undertaking.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Initial Sale Period is defined in clause 2 of Confidential Schedule 4 to this Undertaking.

Lakelands Site is the site described in clause 2.1 of this Undertaking.

Local Retail Supermarket Market has the meaning given to it in clause 2.5 of this Undertaking.

Planning Approval has the meaning given to it in clause 2.6 of this Undertaking.

Proposed Divestiture Agent means a person named in a Proposed Divestiture Notice.

Proposed Divestiture Agent Notice has the meaning given to it in clause 9.3 of this Undertaking.

Proposed Lease Acquisition means the proposal, as described in clause 2.1, for CSA to enter into a lease to operate a Coles supermarket with a selling floor area of 3,500sqm at a site located in a proposed retail development at the Lakelands Site.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice has the meaning given to it in clause 6.1 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the *Corporations Act 2001* (Cth).

Related Entities has the meaning given to it by section 9 of the *Corporations Act 2001* (Cth).

Related Parties has the meaning given to it by section 228 of the *Corporations Act 2001* (Cth).

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Unsold Site has the meaning given to it in clause 9.1 of this Undertaking.

2. Interpretation

- 2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:
- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
 - (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
 - (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
 - (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
 - (e) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
 - (f) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
 - (g) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
 - (h) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
 - (i) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;

- (j) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (k) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (l) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (m) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (n) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (o) in performing its obligations under this Undertaking, Coles will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (p) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice – section 87B divestiture undertaking given by Coles Group Property Developments Ltd (ACN 004 428 326)

Address: mergers@accc.gov.au

Attention: Executive General Manager - Merger and Authorisation Review Division

With an email copy sent to:

Address: mergersucu@accc.gov.au

Attention: Director, Undertakings Compliance Unit Merger Coordination and Strategy Branch, Merger and Authorisation Review Division

1) In relation to the Proposed Purchaser, please provide the following information:

- (a) Name of the Proposed Purchaser;
- (b) Address;
- (c) Contact name;
- (d) Telephone number;
- (e) Other contact details;

2) Please attach a submission containing the following information to this form:

- (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
- (b) details of the Proposed Purchaser's experience in the relevant market/s;
- (c) the names of the {owner/s and the directors (delete any that do not apply)} of the Proposed Purchaser;
- (d) details of any of the following types of relationships between Coles and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Coles and the Proposed Purchaser are Associated Entities;
 - (ii) Coles is an Entity Connected with the Proposed Purchaser;
 - (iii) the Proposed Purchaser is an Entity Connected with Coles;
 - (iv) Coles and the Proposed Purchaser are Related Entities;
 - (v) Coles and the Proposed Purchaser are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with Coles is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;

- (vii) Coles and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Purchaser is a supplier of Coles or has been in the past three years;
 - (ix) Coles is a supplier of the Proposed Purchaser or has been in the past three years; and
 - (x) any other relationship between Coles and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Coles:
- (i) whether the draft sale and purchase agreement is consistent with this Undertaking;
 - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (iii) whether the Proposed Purchaser is of good financial standing;
 - (iv) whether the divestiture of the Divestiture Site to the Proposed Purchaser will address any competition concerns of the ACCC, including a description of any relationships between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Divestiture Site under the ownership of the Proposed Purchaser; and
 - (v) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Divestiture Site, such as outstanding legal action or disputes.
- 3) Please also attach to this form:
- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking; and
 - (b) any documents required to support the information provided by Coles or the Approved Divestiture Agent pursuant to this form.

Schedule 3 – Proposed Divestiture Agent Notice

This form sets out the information required by the ACCC in relation to a Proposed Divestiture Agent Notice.

Please note in relation to information given pursuant to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed form, along with the additional requested information is to be provided to the ACCC with the subject line (proposed Divestiture Agent Form – section 87B divestiture undertaking given by Coles Group Property Developments Ltd (ACN 004 428 326) to the below email addresses:

- 1) mergers@accc.gov.au

Attention: Executive General Manager
Merger and Authorisation Review Division

- 2) **With a copy sent to:**

mergersucu@accc.gov.au

Attention: Director
Undertakings Compliance Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

Information Required

The ACCC requires the following information in order to assess a proposed Divestiture Agent.

- 1) Proposed Divestiture Agent Details:

- (a) the name of the Proposed Divestiture Agent; and
- (b) the name of the proposed Divestiture Agent employer and contact details including:
 - Address;
 - Contact name;
 - Telephone number;
 - Other contact details.

- 2) A submission containing the following information:

- (a) details of the Proposed Divestiture Agent's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
- (b) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Divestiture Agent's employer.
- (c) details of any of the following types of relationships between Coles and the Proposed Divestiture Agent or Proposed Divestiture Agent's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Coles and the Proposed Divestiture Agent's employer are Associated Entities.
 - (ii) Coles is an Entity Connected with the Proposed Divestiture Agent's employer.

- (iii) the Proposed Divestiture Agent's employer is an Entity Connected with Coles.
- (iv) Coles and the Proposed Divestiture Agent's employer are Related Entities.
- (v) Coles and the Proposed Divestiture Agent's employer are Related Parties
- (vi) any Related Party, Related Entity or Entity Connected with Coles is a Related Party, Related Entity or Entity Connected with the Proposed Divestiture Agent.
- (vii) Coles and the Proposed Divestiture Agent or the Proposed Divestiture Agent's employer have a contractual relationship or had one within the past three years, other than those attached to this form.
- (viii) the Proposed Divestiture Agent's employer is a supplier of Coles or has been in the past three years.
- (ix) Coles is a supplier of the Proposed Divestiture Agent's employer or has been in the past three years.
- (x) any other relationship between Coles and the Proposed Divestiture Agent or the Proposed Divestiture Agent's employer that allows one to affect the business decisions of the other.

3) A document outlining the terms of appointment for the Proposed Divestiture Agent.

Specific Information required for the Proposed Divestiture Agent

The ACCC also requires the below information in relation to the Proposed Divestiture Agent.

- 1) The finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with Coles. The draft business sale agreement is to provide for the divestiture of the Unsold Site.
- 2) The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Site.

Confidential Schedule 4

Confidential